

Standard Operating Procedures

Procurement & Purchasing Department

ABC Ltd – Kenya Dairy & Beverages

Expanded Fraud Risk Profile & Detailed Anti-Fraud SOPs

Common Fraud Risks – ABC Ltd (Kenya Dairy & Beverages)

High-Risk Fraud Schemes Observed / Possible in This Environment

1. Collusion with suppliers/farmers/transporters — Kickbacks for inflated prices, fake deliveries, or accepting adulterated milk (water, starch, urea, detergents added at farm/chilling station level).
2. Under-delivery/short receipts — Tankers arrive with less milk (siphoned en route), fake GRNs issued.
3. Ghost/fake suppliers — Shell companies owned by employees/relatives, billing for non-existent milk/ingredients.
4. Bid rigging/quote manipulation — Middle management fabricates quotes, awards to favorites.
5. Product substitution/adulteration acceptance — Low-quality sugar/flavors/milk powder accepted for bribes.

6. Split purchases — Breaking high-value buys below approval thresholds to avoid quotes/CFO sign-off.
7. Over-invoicing + under-delivery combination — Invoice for 10,000 L but receive 8,000 L.
8. Related-party dealings — Relatives secretly own chilling stations, transport firms or supply points.
9. Cash payments to transporters/farmers — Skimming from petty cash funds.
10. Fake quality rejections — Reject good milk to buy cheaper elsewhere or favor a bribe-giving supplier.
11. Tanker diversion — Company/hired tankers sell milk informally during transit.
12. Inventory/ingredient fraud spillover — Procuring excess to mask downstream theft at plant level.
13. Emergency/single-source abuse — Declaring “urgent” need for perishables to bypass competitive bidding.

Detailed SOPs – Procurement / Purchasing Department

1. Requisition Process (Initiation & Approval)

- All requisitions raised **only** by authorized user departments (Production – milk/ingredients, Maintenance – spares, Admin – office supplies).
- Requisition form: Digital in ERP or locked template — must include item description, quantity, estimated cost, delivery location, justification, urgency level.
- Department head approval mandatory; for > KES 50,000 , second approval from Nakuru Plant Manager.
- CFO pre-approval required for **all milk procurement requisitions** (daily/weekly bulk) and any requisition > KES 100,000 .

- No verbal requisitions allowed — all must be logged sequentially with auto-timestamp.
- **Anti-fraud control:** System flags duplicate/similar requisitions in short periods (split buying detection). CFO reviews weekly trends vs. production plan.

2. Supplier Selection & Pre-Qualification

- Pre-qualification database maintained by **Finance** (not Procurement): Vendors must submit KRA PIN, business registration, bank letter, physical address proof, references from 2 other dairy firms.
- Mandatory site visits for milk suppliers, transporters, chilling stations: Team = Procurement Officer + Finance Rep + Quality Inspector. Document photos, GPS coordinates, capacity assessment.
- Milk suppliers: Valid Dairy Board registration, chilling equipment calibration certificates, hygiene licenses required.
- Transporters: Tanker registration, calibration certificates (KESRA), driver background check mandatory.
- Minimum **3 competitive quotes** for purchases > KES 100,000 (or > KES 50,000 for milk/ingredients). Quotes sealed/digital, opened with Procurement + Finance witness.
- Single-vendor justification requires **CFO written approval** + documented evidence (sole supplier letter, market survey).
- Annual vendor scorecard: Quality, delivery, price stability, complaints. Poor performers warned then blacklisted.
- **Anti-fraud controls:** Rotate quote requesters, ban related-party suppliers (annual declaration mandatory), anonymous supplier tip line.

3. Purchase Order (PO) Issuance

- PO system-generated, sequential numbering, auto-filled from approved requisition + selected quote.
- No manual/handwritten POs — overrides require CFO digital sign-off + audit trail note.
- PO must specify: exact quantity, quality specs (milk fat %, arrival temp <4°C), delivery point/time, tanker details (reg no., driver), penalties for short/under-quality delivery.
- Tankers: Include calibrated volume, seal number requirement, mandatory GPS tracking for hired vehicles.

- Copies sent to: Stores/Receiving, Quality, Finance, Transporter.
- **Anti-fraud:** Amendments only with CFO approval; system locks PO after issuance.

Implementation Note: These controls (especially 3-way match, GPS tracking, independent receiving, and CFO pre-approvals) form the backbone of leakage prevention in Kenyan dairy procurement. When implemented strictly, 70–80% reduction in procurement-related fraud is typically achieved within 3–6 months.

4. Receipt of Goods / Milk Intake (GRN Process)

- Independent receiving team (not Procurement): Quality Inspector + Stores Officer + rotating Finance spot-check representative.
- Milk tankers: Check seal intact, GPS log, temperature log (data logger mandatory).
- Random sampling & adulteration tests (lactometer, organoleptic, urea/starch rapid tests; full lab if suspicious).
- Weigh/measure using calibrated weighbridge/digital flow meter; compare with dispatch note + PO.
- Discrepancy > 1%: Immediate hold, notify CFO + Plant Manager, reject with photos/video evidence.
- GRN signed by Receiver + Quality + Stores; digital upload with photos.
- **Anti-fraud:** CCTV at intake points (Nairobi monitoring), surprise CFO visits, quarterly rotation of receiving staff.

5. Invoice Processing & Verification

- Strict **3-way match:** PO + GRN + Invoice (performed by Accounts Payable – independent from Procurement).
- Discrepancies auto-flagged to CFO; payment held until resolved.
- Milk invoices: Match liters received vs. invoiced + quality parameters vs. contract.
- Supplier bank details must match vendor master record.
- **Anti-fraud:** No post-dated invoices accepted; monthly aging report reviewed by CFO.

6. Payment Process

- Bank transfer (EFT/RTGS) only — **no cash** payments > KES 10,000 (small farmers use traceable mobile money).
- Dual signatory: CFO + senior (CEO/Finance Manager); > KES 500,000 requires Owner email confirmation.
- Vendor bank details locked after initial verification + test payment.
- **Anti-fraud:** No advances without CFO approval + security (e.g. bank guarantee); monthly payment vs. GRN reconciliation.

7. Vendor Statement Reconciliation & Monitoring

- Monthly reconciliation by Finance (not Procurement): Supplier statement vs. company books — variances investigated immediately.
- CFO dashboard: Unit price trends vs. market benchmarks (KDB, industry indices) — flag >5% deviations.
- Vendor rotation policy: No single supplier >40% of category volume without strong justification; rotate transporters quarterly where feasible.
- Anonymous supplier feedback/hotline — complaints trigger formal investigation.

8. Additional Controls – Milk & High-Risk Areas

- GPS mandatory on all tankers — real-time monitoring from Nairobi + alerts for deviations/stoppages >15 min.
- Private chilling stations treated as high-risk — extra audits, volume cross-check with farmer lists.
- Procurement cannot override quality rejections — quality reports auto-copied to CFO.
- Emergency procurement limited to 10% of monthly volume — post-facto justification + quotes required within 7 days.
- Annual conflict-of-interest declarations (Procurement staff + Nakuru middle managers).
- Quarterly fraud awareness training + signed code of conduct.
- Monthly surprise procurement audits (report to CFO) + quarterly forensic review of high-value categories.

9. Documentation, Records & Escalation

- All documents scanned/uploaded to ERP/cloud with timestamps & user logs.
- Retention period: minimum 7 years.
- Escalation: Any red flag (discrepancy, tip, unusual trend) to CFO within 24 hours; serious matters directly to Owner.
- Whistleblower policy: Anonymous reporting, no retaliation, reward up to KES 100,000 for proven tips.

Expected Outcome: Ruthless implementation of these SOPs should reduce procurement leakages by 70–80% within 3–6 months.

Track KPIs: % of purchases via competitive bidding, receipt variance %, % rejected loads, savings vs. market benchmark.

Monthly variance & action reports required. Replace any middle management resisting implementation.